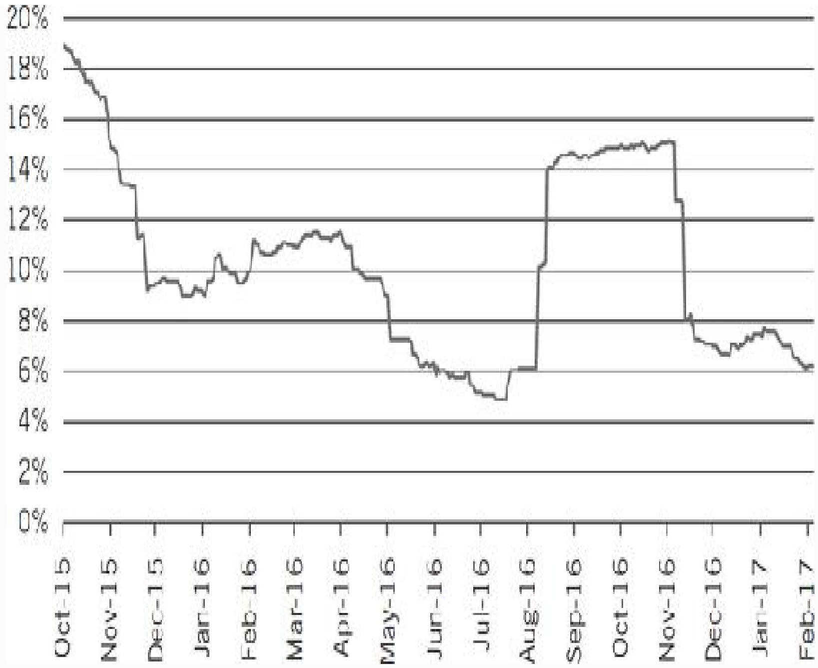

Figure 9.8 ■ Monero's decreasing daily volatility
Data sourced from CryptoCompare

In Figure 9.9, we compare bitcoin, ether, and dash's volatility since the end of 2015. Bitcoin has the lowest volatility because its markets are the most liquid and it has the greatest diversity of support from different exchanges and asset trading pairs. While bitcoin has sustained its low volatility, ether has come down significantly, and dash has varied widely. We included dash because we posit that it will continue to have problems with volatility over time. While it is gaining in acceptance, which should decrease its volatility, its software architecture creates a liquidity problem by requiring masternodes (entities similar to miners, but unique to Dash's architecture) to lock up a large amount of the dash outstanding. Such a requirement impedes the liquidity of